estimated ‘total revenue foregone for the reduction in corporate tax rate and other relief at Rs 1,45,000 crore’. However, it did not provide any basis for this estimate.

The government publishes a ‘Statement of Revenue Impact of Tax Incentives under the Central System’ with every Budget. For the financial year, the statement is at Annex-7 of Revenue Receipts 2019–20. The analysis in this statement related basically to financial year 2017–18.

The Statement reported that there were 1,30,676 manufacturing companies (15.53 per cent) out of total return filing companies of 8,41,687 for financial year 2017–18. These manufacturing companies had a share of 38.92 per cent in total profits and 36.74 per cent share in total tax liability. Their effective tax liability was 27.83 per cent.

These companies would not get the benefit of lower tax rate of 15 per cent available to new manufacturing companies, though all these companies would get the benefit of lower CIT rates. Out of these 1,30,676 manufacturing companies, those with turnover of more than Rs 400 crore would get the benefit of lower taxation rate of 22 per cent compared to earlier incidence of 30 per cent and those with turnover less than Rs 400 crore would pay a lower rate of 22 per cent in place of the 25 per cent to which they were subjected earlier.

As these companies would be tax-disadvantaged compared to new manufacturing companies, they may also be incentivized to set up new manufacturing plants, or convert existing manufacturing facilities or those at the work-in-progress stage to new manufacturing facilities in new companies to avail the lower corporate tax rates.

A total of 7.11 lakh non-manufacturing companies, with a share of 61 per cent in profits and 63 per cent in tax liability, had a higher effective tax rate of 30.55 per cent. These companies would also opt for the new scheme, sooner or later, after factoring in the impact of their existing un-availed tax